



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Advanced Level

BUSINESS ENTERPRISE SKILLS

PAPER 1 Case Study

6004/1

3 hours

SPECIMEN PAPER

Additional materials:

Calculator

Answer booklet

INSTRUCTIONS TO CANDIDATES

Write your name, centre number and candidate number on the answer booklet provided.

Answer **all** questions.

INFORMATION FOR CANDIDATES

This question paper consists of **two** compulsory sections, **A** and **B**.

The number of marks is given in brackets [] at the end of each question.

Any rough working should be done in the answer booklet.

This specimen paper consists of 4 printed pages.

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SECTION A [40 marks]

Answer **all** questions.

- 1 (a) State **two** ways of enterprising. [2]
 (b) Explain the benefits of enterprising to the economy of your country. [4]
- 2 Describe **two** components of a business plan. [4]
- 3 (a) Explain the term *gearing*. [4]
 (b) Distinguish between debt and equity finance. [4]
- 4 Describe the following accounting concepts
 (a) business entity,
 (b) money measurement. [4]
- 5 Analyse the benefits of batch production to a business enterprise. [4]
- 6 Explain **two** marketing mix variables. [4]
- 7 Discuss the benefits of decision trees to a business enterprise. [4]
- 8 Evaluate the importance of being ethical to a soft drink producer. [6]

SECTION B [60 marks]

Answer **both** questions.

Case Study 1

Green Earth Farm

Green Earth Farm is a leading vegetable producer in Gokwe. The enterprise's main objective is to increase sales and market share in the competitive fresh produce market. With over 20 years of experience, the enterprise has built a reputation for delivering high-quality, fresh vegetables to supermarkets and restaurants nationwide. The enterprise's marketing strategy focuses on exploiting unique selling points of vegetables, emphasizing their refreshing qualities, nutritional benefits, and versatility in various recipes.

Despite the growing demand for healthy and sustainable food options, Green Farm is facing a marketing challenge of low brand awareness and commodity perception hence the need for market research. By leveraging social media campaigns, influence partnership, content marketing and trade promotions, the enterprise increased brand awareness, maintained a consistent revenue stream and positioned their vegetables as a premium product.

To support the marketing efforts, Green Earth Farm's accounting team provided the following financial information:

Income Statement

Revenue	1000000 zig
Cost of Goods Sold	600000 zig
Marketing Expenses	150000 zig
Gross profit	400000 zig

- 9 (a) Define *unique selling point*. [2]
- (b) Describe **three** methods which can be used by Green Earth Farm to promote its products. [6]
- (c) Using information from the case study, calculate
- (i) net profit,
- (ii) net profit margin. [4]
- (e) Discuss the usefulness of an Income statement to Green Earth Farm. [8]
- (d) Evaluate **two** methods which can be used by Green Earth Farm to use resources sustainably. [10]

Case Study 2

Sports Apparel Manufacturers

Pfeka Afro Sports Co enterprise is a leading manufacturer of sport kits and sportswear in Harare. The enterprise is also investing in a new sporting ground development project to cater for the growing demand for sports and recreational activities in the community. The manager has drawn a business plan for the project.

There was an increase in demand for high quality sports facilities due to globalisation. Pfeka Afro Sports Co also navigates the globalized markets to attract top-tier sports events and teams. The new sporting ground development project offers a compelling opportunity for Pfeka Afro Sports Co to create a state-of-the-art sports facility.

Apparently, key stakeholders including the local community, sports teams and the government, which are providing funding and support were also involved in sporting ground development.

The project faces moderate competition from existing sport facilities, with buyers having moderate bargaining power due to several options available. However, the threat of new entrants is moderate, as high initial investment is required, and suppliers have low bargaining power due to numerous options.

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| 10 | <p>(a) Define the term <i>stakeholders</i>. [2]</p> <p>(b) Explain the effects of globalisation to Pfeka Afro Sports company [4]</p> <p>(c) Describe three sources of finance that are available to Pfeka Afro Sports company. [6]</p> <p>(d) Assess the benefits of Porter's five forces model to Pfeka Afro Sports company. [8]</p> <p>(e) Evaluate the importance of human resource planning to Pfeka Afro Sports company. [10]</p> |
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